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[1911-2; 2450-1 (b, 8).]

SECTION 1263. *Title to Real Property Acquired by Bank.* — The title to real estate, leasehold, buildings, and other property acquired by foreclosure or otherwise shall be vested in the bank and shall be managed for the benefit of the bank under the direction of the board until such time as the board may, in its discretion, sell or otherwise dispose of it.

[1620-1 (5, b); 2450-1 (b, 5b).]

SECTION 1264. *Proceeds and Earnings of Property Held by Bank.* — All sums derived from the operation or sale of real estate, buildings and other property and securities acquired by the bank in excess of the amounts chargeable for interest, taxes, insurance, and other expenses shall accrue to the bank as additional earnings.

[1620-1 (5, b); 2450-1 (b, 5b).]

SECTION 1265. *Postal Savings Bank Reserve Fund.* — The earnings of the bank in any year in excess of the expenses of the bank for that year shall be placed in the postal savings bank reserve fund which shall be invested with other bank funds and be permitted to accumulate until the amount therein equals ten per centum of the total net deposits in the bank.

The postal savings bank reserve fund shall be a trust fund and shall be used for no other purpose than to meet deficits in those years after its establishment in which the earnings of the bank are not sufficient to pay the expenses of the bank.

[1493-20.]

SECTION 1266. *Expenses and Earnings — How Ascertained.* — To ascertain the earnings and expenses of the bank for any period, only the amounts actually paid and received during that period shall be taken into account.

SECTION 1267. *Payment of Expenses of Bank.* — The expense of the operation and administration of the bank shall be paid out of the funds of the Bureau of Posts in the same manner as the expenses of its other divisions are paid.

At the end of each fiscal year the total of the amounts so paid shall be repaid to the Bureau of Posts out of the bank's current earnings and the postal savings bank reserve fund.

[1493-19.]